

Financial Crime Principles for Correspondent Banking and Nested Relationships

Respondent due diligence, downstream clearing, payment transparency and exit management

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This document is synthetic content authored for a multi-agent fraud intelligence hackathon. It paraphrases the structure and themes of public materials (Wolfsberg Group correspondent banking principles and BCBS sound management guidance, publicly available) but contains no verbatim reproduction of them. Thresholds, codes and identifiers are illustrative.

1. Definitions

- Correspondent relationship: provision of banking services by one institution to another for the purpose of executing third-party payments.
- Nested relationship: use of a correspondent account by the respondent's own customers, including other financial institutions, to conduct transactions on their own behalf.
- Payable-through arrangement: direct access granted to a respondent's customers to transact on the correspondent account. Such arrangements are prohibited unless expressly approved by the correspondent's senior committee.
- Shell bank: an institution with no physical presence and no affiliation with a regulated financial group. Relationships with shell banks are prohibited without exception.

2. Respondent due diligence file

Before opening a correspondent account, the correspondent shall collect and maintain the following minimum record set, refreshed at intervals no longer than 24 months for standard risk and 12 months for high risk.

- Ownership, control and group structure, including ultimate beneficial owners above 10% for financial institution respondents.
- Licence status, supervisor identity and date of the most recent on-site supervisory review.
- Description of the respondent's AML programme, including monitoring system, sanctions screening vendor and independent testing date.
- Products offered over the account, expected volumes and values, and the top ten expected counterparty countries.
- Whether the respondent permits nesting and, if so, the identity and jurisdiction of downstream institutions.
- Adverse media, enforcement history and any regulatory action in the last five years.

3. Transaction monitoring for correspondent flows

Monitoring shall be based on the observable payment message fields. The correspondent is not expected to perform due diligence on the respondent's customers, but is expected to detect activity inconsistent with the agreed profile.

- Deviation of country mix by more than 25 percentage points from the declared expected corridors in a calendar month.
- Appearance of a counterparty country not present in the onboarding declaration and rated high risk.
- Payments where the ordering customer field is truncated, generic, or repeats a single name across unrelated payments.
- Serial payments where the same value is passed through three or more institutions within the same value date.
- Sudden growth in nested volume exceeding 40% month over month.

4. Escalation and exit

Finding	Immediate action	Decision owner	Maximum elapsed time
Undisclosed nesting detected	Restrict to name-bearing payments	Correspondent banking head	10 business days
Respondent unable to evidence originator data	Request remediation plan	Compliance officer	20 business days
Shell bank exposure identified	Suspend account, file report	Financial crime committee	24 hours
Repeated sanctions circumvention indicators	Terminate relationship	Financial crime committee	5 business days

Exit shall be executed in an orderly manner with a defined wind-down window, while ensuring that no funds are released where a report to the financial intelligence unit is pending and a hold has been instructed.